

▶ Masterclass Day 3

# Primary vs. Secondary Market

How Companies Raise Capital & How You Trade It.

# The Big Picture

## Primary Market

This is where the actual capital is raised. The transaction happens directly between the **Company** and the **Investor**.

Think of it as buying a brand new car straight from the manufacturer showroom. The money you pay goes directly to the company to fund their growth, factories, and operations.

## Secondary Market

This is where liquidity is provided. The transaction happens between **Investor** and **Investor**.

Think of it like selling that car later on OLX to another person. The manufacturer (the company) is not involved, and the money just changes hands between the two of you. This is what you see flashing red and green on TV.

# IPO (Initial Public Offering)

An IPO is a monumental event in a company's lifecycle. It is the very first time a private company offers its shares to the general public.

- » **The Goal:** To raise massive amounts of capital for expansion, paying off debts, or allowing early investors to exit.
- » **The Process:** The company files a DRHP (Draft Red Herring Prospectus) with SEBI, detailing its financials, risks, and plans.
- » **The Result:** After a successful IPO, the company transitions from 'Private' to 'Publicly Traded', and gets listed on the NSE and BSE.



# FPO (Follow-on Public Offer)

## What is it?

An FPO happens when a company that is **already listed** on the stock exchange issues *new* shares to the public to raise even more money.

If an IPO is Chapter 1, an FPO is Chapter 2. The company is already public, but it needs another injection of fresh capital.

## Why do it?

Usually, companies opt for an FPO to fund a massive new project, acquire another company, or pay off heavy bank loans without taking on new debt.

Note: Because new shares are created, it dilutes the ownership percentage of existing shareholders.

# OFS (Offer For Sale)



## Promoters Selling

Unlike an IPO or FPO, no new shares are created. Instead, the existing promoters or major shareholders are simply selling their own shares to the public.



## No New Capital

Because the promoters are selling their personal stakes, the money raised goes directly into their pockets, NOT into the company's bank account.



## Easier Process

It is a much faster and simpler mechanism introduced by SEBI, conducted entirely on the exchange platform, often used to meet minimum public shareholding norms.

# The Rights Issue

Think of this as an exclusive VIP sale, but only for the loyal customers.

When a company needs more money, instead of going to the general public, it offers new shares exclusively to its **existing shareholders**.

**The Incentive:** These shares are almost always offered at a discounted price compared to the current market price. This protects existing investors from ownership dilution and rewards them for their loyalty.



# Understanding Bonus Shares

FREE

ADDITIONAL SHARES

## The Illusion of Wealth

A company gives fully paid additional shares to existing shareholders for free, usually out of its accumulated profits or reserves.

**Example:** A 1:1 bonus means you get 1 free share for every 1 you hold. If you had 100 shares at ₹1,000, you now have 200 shares.

**The Catch:** Your total wealth doesn't double! The share price automatically halves to ₹500. It simply divides the pie into smaller, more affordable pieces to attract retail investors.

# Share **Buyback**



## **What is it?**

The exact opposite of issuing shares. The company uses its excess cash to buy its own shares back from the open market or directly from shareholders, usually at a premium price.



## **Boosts Financial Ratios**

By absorbing and extinguishing these shares, the total supply of shares decreases. This automatically increases the Earnings Per Share (EPS), often driving the stock price up.



## **Signals Confidence**

It is one of the strongest signals management can send. It tells the market: "We believe our stock is undervalued, and we are betting our own cash on our future."

# Private Placement

Going public (IPO) is expensive, time-consuming, and involves heavy regulatory scrutiny from SEBI. Sometimes, a company just wants a faster route.

- » **The Concept:** Selling shares to a small, select group of major investors instead of the general public.
- » **The Players:** These are typically wealthy individuals (HNIs), Mutual Funds, Pension Funds, or Foreign Institutional Investors (FIIs).
- » **The Advantage:** It saves the company massive underwriting fees, marketing costs, and months of waiting time.



# SME IPO



## Small & Medium Enterprises

The main boards of NSE and BSE are for giant corporations. But what about a promising startup or a medium-sized manufacturing unit that needs capital?

**The Solution:** SME IPOs allow smaller companies to raise funds and list on dedicated SME platforms (like BSE SME or NSE Emerge).

They have much lower compliance requirements and smaller issue sizes. However, for retail investors, the minimum investment amount (lot size) is typically much higher, usually over ₹1 Lakh, to ensure only risk-tolerant investors participate.

# Great Job on Day 3!

Tomorrow: Understanding Shares.

Don't forget to Like, Share, and Subscribe!

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